Massey University Investment Club

Weekly Market Report

(Week ending April 24, 2026)

Editors

Cao Khai Doan | MFIN, ASA

Khant Min Zin | Treasurer, MUIC

About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by the MUIC research team to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

Contact Information

: investment@akl.muclubs.ac.nz

: MUIC_Linkedin

: MUIC_Instagram

Committee Members

Wenqi Zhang	President
Khant Min Zin	Treasurer
Thu Ngo	Secretary
Jordan Wilson	Secretary

This week we cover three topics that all point to the same underlying theme: the world is repricing risk, and New Zealand is not immune. **Moody's has downgraded New Zealand's fiscal outlook to negative**, making it the second major ratings agency to do so this year after Fitch in March. The Government's Treasury scenarios on oil prices were also finally released this week, and the range between best and worst case is wide enough to matter. From there we shift to global currency markets, looking at **why the US dollar's war premium is fading** and what it tells us about how investor psychology is shifting from fear toward Fed rate cut expectations. We close with a look at **Blackstone's AI infrastructure thesis** — why the biggest bet in private markets right now is not on software, but on data centers, power, and the hard assets that make AI physically possible. As always, this report has been prepared by the MUIC research team for educational purposes. We welcome your ideas and questions.

1. Moody's Downgrades New Zealand's Outlook to Negative

In a development that deserves close attention, Moody's has become the second major credit rating agency this year to downgrade New Zealand's fiscal outlook from "stable" to "negative." Fitch made the same move in March, and now Moody's has followed suit, citing persistent inflation, global uncertainty from the Middle East conflict, delayed return to a budget surplus, and a rising debt burden. To be clear, New Zealand still holds a AAA rating, the highest possible and so this is not a crisis. But a negative outlook is effectively a formal warning that if things do not improve, a full downgrade could follow.

To put this in simple terms: credit rating agencies are like referees watching how well a country manages its finances. They do not just look at where things are today, they look at where they are heading. Two referees have now blown the whistle in quick succession, and that matters.

Finance Minister Nicola Willis responded by defending the Government's restrained fiscal approach, saying that spending more and borrowing more right now would be irresponsible and would risk pushing interest rates and borrowing costs even higher. That is a fair point and Moody's downgrade actually reinforces her argument. When a country's fiscal outlook deteriorates, lenders demand higher returns to compensate for the increased risk, which flows directly into higher mortgage rates and business borrowing costs for everyday New Zealanders

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Perhaps the most interesting part of this week's announcement was Willis finally releasing Treasury's inflation scenarios developed in response to the Iran conflict back in early March.

These paint quite different pictures of where things could go:
In the **best case**, the conflict is short and oil averages US$110 a barrel in Q2 before returning to pre-conflict levels early next year.
In the **prolonged conflict** scenario, oil averages US$135 a barrel through Q2 and Q3 before easing in early 2028.
In the **most severe scenario**, oil reaches US$180 a barrel on average across the same period.

For context, oil is currently sitting at just below US$100 a barrel, which means we are still tracking closer to the best case for now but not by a comfortable margin. The gap between the best and worst case scenarios is enormous, and it explains why the RBNZ, the Government, and now the ratings agencies are all being so cautious about committing to a clear direction.

The bottom line is that New Zealand's fiscal position is being squeezed from multiple directions at once; an oil shock driving inflation higher, rising borrowing costs, a delayed return to surplus, and now two formal warnings from global rating agencies. None of this is catastrophic on its own, but the combination is serious and worth watching closely as we head into the May Budget.

2. The dollar's war premium is fading: FX markets shift from fear to Fed cuts

The dollar's war premium is starting to fade, and that matters because it tells us risk appetite is shifting again. After rallying during the early phase of the Iran conflict, the dollar has given back much of those gains, falling around 2.3% from its late March peak and heading for one of its weakest monthly performances since last August. The move reflects a clear change in market psychology: investors are reducing bullish dollar positions as safe-haven demand cools and attention shifts back to the Federal Reserve's rate path.

The main driver is not a collapse in the US outlook, but a change in the balance of risks. As hopes of de-escalation between the US and Iran improve, the urgency to hold dollars as protection has declined. That has allowed other major currencies to recover, especially as traders reassess whether the Fed may still need to ease if growth slows and financial conditions tighten. In simple terms, the dollar is losing support from two sides at once: less geopolitical fear and more debate about future US rate cuts.

This does not mean the dollar is structurally weak. It remains the world's primary reserve currency and still benefits when global risk sentiment deteriorates. But the latest move shows that the dollar's strength during geopolitical shocks can unwind quickly when markets start to price diplomacy, lower oil risk, and a softer Fed reaction function. The fact that nearly all major currencies have strengthened against the dollar suggests this is not just a single currency story, but a broader reduction in the demand for US dollar safety.

For investors and corporate decision makers, the practical takeaway is to avoid treating the dollar as a one-way trade. FX is now being driven by a three-way interaction between geopolitics, energy prices, and monetary policy expectations. If tensions ease further, the dollar could stay under pressure as risk appetite improves. But if the ceasefire proves fragile or inflation expectations rise again through energy channels, the dollar can quickly regain its defensive bid. In this environment, currency exposure needs to be managed as a live risk factor, not as a passive assumption in the background.

3. Funding the AI buildout: Blackstone is turning AI into an infrastructure thesis

Blackstone's latest messaging makes one thing clear: the AI boom is no longer just a software story. It is increasingly a hard asset story. Data centers, power, chips, cooling, grid capacity, and energy infrastructure are becoming the physical foundation of the next technology cycle, and Blackstone is positioning itself directly at the center of that buildout.

Steve Schwarzman said Blackstone has become the world's largest investor in AI-related infrastructure, with a portfolio of more than $150 billion in data centers globally, including assets under construction, and a further $160 billion in a prospective development pipeline. Blackstone's own AI investment platform also shows how broad the strategy has become, spanning data centers, hardware, electricity, renewables, and GPU infrastructure through platforms such as QTS, AirTrunk, Invenergy, and CoreWeave.

The strategic logic is straightforward. AI demand is creating a supply bottleneck in compute and power. Whoever controls scalable data center capacity, reliable energy access, and financing capability is not simply funding AI. They are funding the infrastructure layer that AI companies must rent, use, and expand through. That is why Jon Gray described AI infrastructure as the single biggest driver for Blackstone today, with data centers, LNG, and battery storage among the strongest contributors to recent performance.

But there is a second side to the story. AI is also disrupting parts of the software market, especially businesses whose moats were built during the low-rate era but may now be challenged by automation, lower switching costs, and pressure on pricing power. Reuters reported that concerns around AI disruption to software portfolio companies and private credit lending standards have weighed on alternative asset managers, while Blackstone's flagship private credit fund BCRED saw $3.7 billion of withdrawals in the first quarter.

That contrast is important. AI is creating value in one part of the portfolio while forcing a reassessment of risk in another. For asset managers, the winners will be those who can distinguish between AI beneficiaries and AI victims, then allocate capital accordingly. For investors, the lesson is equally clear: the AI trade is no longer just about owning model companies or software names. It is about understanding the full capital stack behind the buildout, from real estate and power to private credit and long-duration infrastructure.

Blackstone is effectively saying that the next phase of AI will be financed in concrete, steel, fiber, electricity, and debt capital. That may be less glamorous than the front end of artificial intelligence, but it could be where some of the most durable economies are created.